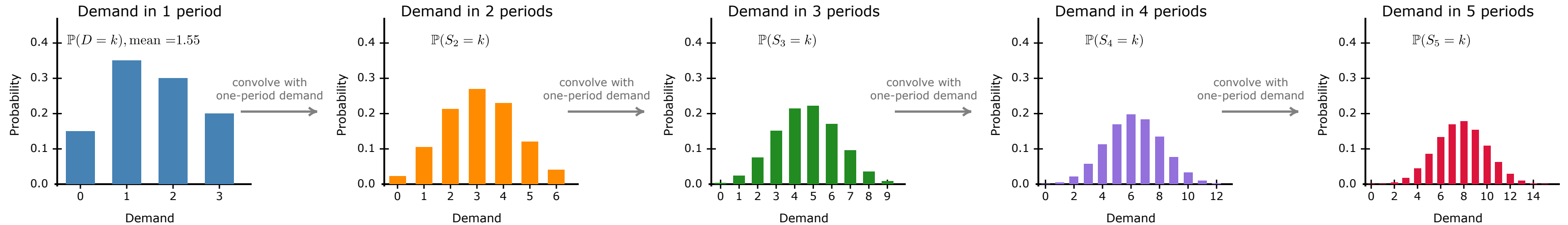


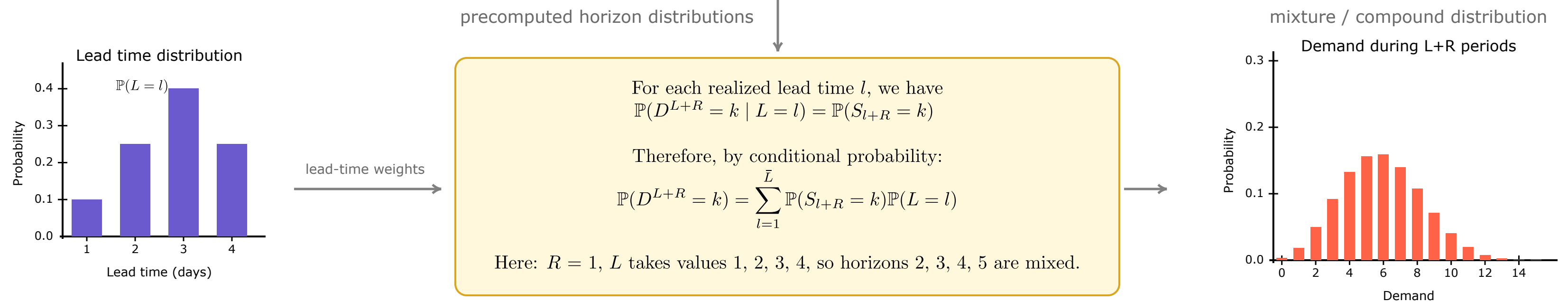
Example: Convolution-based computation of Demand during Lead Time + Review Period

Precompute horizon-demand distributions, then mix them using the lead-time distribution.

Step 1: Repeated convolution of the one-period demand distribution
Compute and store $\mathbb{P}(S_h = k)$ up to $h = \text{Max Lead Time } (\bar{L}) + \text{Review Period } (R)$



Step 2: Compute the distribution of demand during lead time + review period (D^{L+R}).



Example distributions used only for illustration: one-period demand support $\{0,1,2,3\}$; lead time support $\{1,2,3,4\}$.